RESERVE BANK OF INDIA - REGULATORY CIRCULAR

RBI/2024-25/112 | DOR.CRE.REC.No.66/21.04.048/2024-25

Subject: Guidelines on Default Loss Guarantee (DLG) in Digital Lending Transactions

1. Regulated Entities (REs) entering into DLG arrangements with Lending Service Providers (LSPs) shall ensure that total DLG cover on any outstanding portfolio shall not exceed 5.0% of that loan portfolio amount.

2. Forms of DLG: DLG shall be accepted only in the following forms: (a) Cash deposited with the RE, (b) Fixed Deposits maintained with a Scheduled Commercial Bank with a lien marked in favor of the RE, or (c) Bank Guarantee in favor of the RE.

3. Tenor of DLG: The period of DLG agreement shall not be less than the longest tenor of the underlying loans in the portfolio.

4. Disclosure: REs shall publish on their website the total number of portfolio-level DLG arrangements, the names of LSPs, and the total quantum of DLG invoked during the financial year.